05 December 2025

Krishna Institute of Medical Sciences Ltd

Operating Leverage and capacity optimization to aid growth

MANAGEMENT MEET UPDATE

Sector: Healthcare	**Rating: NR**
CMP: Rs 707	**Target Price: NA**

Stock Info

Sensex/ Nifty	85,706/26,202
Bloomberg	KIMS IN
Equity shares (mn)	400.
52-wk High/Low	Rs 798/474
Face value	Rs 10
M-Cap	Rs 282bn/USD 3bn

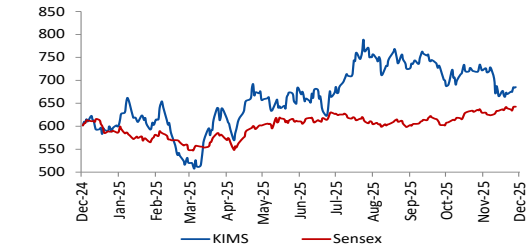
Financial Snapshot (Rs mn)

Y/E Mar	FY23	FY24	FY25
Sales	21,976	24,982	30,351
Gross profit	17,170	19,678	24,082
Gross Margin (%)	78%	79%	79%
EBITDA	5,992	6,447	7,930
Margin (%)	27%	26%	26.6%
PAT	3,658	3,359	4,148s
EPS	8.5	7.8	9.6
RoE (%)	16.8	13.5	15.0
RoCE (%)	14.7	11.2	10.0
P/E	82.0	89.7	72.3
EV/EBITDA	45.8	42.6	34.6

Shareholding pattern (%)

	Mar'25	Jun'25	Sept'25
Promoter	38.82	34.11	34.11
FII	15.44	15.54	15.03
DII	31.95	31.65	32.12
Others	13.78	18.68	18.74

Stock Performance (1-year)



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We met the management of Krishna Institute of Medical Sciences Ltd (KIMS; NOT RATED) to gain deeper insights into the company's business model and growth prospects. KIMS Hospitals (current bed capacity of 6,114 beds) is accelerating its footprint through acquisitions and an asset-light expansion strategy. The company plans to expand its bed capacity by an additional ~25%, driven through a mix of organic additions and strategic acquisitions. The company is broadening presence across Maharashtra, Andhra Pradesh, and Kerala. Alongside network expansion, KIMS aims to gradually reduce reliance on government business to improve ARPOB. It is also strengthening core operations by improving case mix quality and enforcing pricing discipline, targeting a step-up in group EBITDA margin from 20–22% currently toward a sustainable 25–26%. KIMS currently trades at 50x on FY27E consensus EPS. We do not have a rating on the stock.

Business overview

1. Revenue mix and pricing

- KIMS revenue profile remains pre-dominantly in-patient driven, with in-patient contributing 80% and out-patient 20%.
- The organization is implementing an 18–20% price increase under CGHS and related government schemes.
- In the medium term, the company aims to optimize its payor mix in favor of cash and private insurance.

2. Occupancy and capacity utilization

- Company has seen a drop in occupancy owing to a steep increase in capacity over the last year. Since end of FY24, KIMS has added about 50% to its base capacity. IP volumes and ARPOB continue to trend favorably having grown 15% and 10% YoY respectively.

3. Expansion strategy and specialization

- Growth is focused on high-potential markets including Nashik, Thane, Kolhapur and Vijayawada.
- The company plans to scale oncology as a major strategic thrust area. The organization is also deepening its presence in the traditional mother & child segment. The company plans a significant push in Andhra Pradesh, where the goal is to establish 15 hospitals across the mother & child and oncology segments

4. Expansion through asset-light model

- The company also follows an asset-light strategy, with ~20% of its beds operated under O&M arrangements and another ~10% under lease-based models.

Investors are advised to refer disclosures made at the end of the research report.

- It has deployed the O&M model in Sangli (300 beds), Kurnool (250 beds), and Guntur (300 beds) and others. In several other locations, the company operates under a revenue-sharing model with a call option to acquire a 51% stake.

- O&M contracts offer a minimum guarantee to the partner and also a share of the upside

5. Profitability and margins

- KIMS currently operates at 20–22% EBITDA margin, which is lower than its historical average owing to an aggressive capacity expansion. As capacity utilization normalizes, they should be around their historical average. Improvement in CGHS reimbursement rates, payor and case mix optimization are additional levers to expand margins.

FINANCIALS

Profit & Loss Statement

YE: Mar (Rs mn)	FY21	FY22	FY23	FY24	FY25
Sales	**13,299**	**16,508**	**21,977**	**24,982**	**30,351**
Growth	18%	24%	33%	14%	21%
Cost of Medicines and Consumables	2,889	3,552	4,806	5,304	6,269
Gross Profit	**10,410**	**12,957**	**17,170**	**19,678**	**24,082**
Gross Margin	78%	78%	78%	79%	79%
Employee Benefit Expenses	2,202	2,619	3,464	4,224	4,995
SG&A	4,048	4,691	6,893	8,180	10,157
Other Expenses	402	431	821	827	1,000
EBITDA (post Ind As)	**3,757**	**5,216**	**5,992**	**6,447**	**7,930**
EBITDA Margin	28%	32%	27%	26%	26%
Other Income	102	203	374	161	319
Depreciation and Amortization	695	727	1,293	1,465	1,772
EBIT	**3,163**	**4,692**	**5,074**	**5,143**	**6,477**
Finance Costs	373	219	373	545	1,004
Profit From Exceptional Items and JV	0	95	148	-3	108
PBT	**2,790**	**4,569**	**4,849**	**4,595**	**5,581**
Tax	735	1,131	1,191	1,236	1,433
Tax Rate	26%	25%	25%	27%	26%
Profit After Tax	**2,055**	**3,438**	**3,658**	**3,359**	**4,148**
PAT Margin	15%	21%	17%	13%	14%
EPS	**5.2**	**8.3**	**8.5**	**7.8**	**9.6**

Source: Company, Systematix Research

Balance Sheet

YE: Mar (Rs mn)	FY21	FY22	FY23	FY24	FY25
Equity Share Capital	776	800	800	800	800
Reserves & Surplus	7,861	13,073	15,895	17,482	20,578
Net Worth	**8,637**	**13,873**	**16,695**	**18,282**	**21,378**
Minority Interest	125	233	2,684	2,649	2,810
Short term Borrowings	553	18	196	915	1,302
Long term Borrowings	0	0	0	0	0
Trade payables	1,319	1,295	1,743	1,967	2,691
Other Provisions	353	276	377	460	615
Other liabilities	3,346	3,346	7,317	13,925	27,965
Total Liabilities and Equity	**14,332**	**19,041**	**29,011**	**38,198**	**56,761**
Net block	9,311	10,052	17,663	24,339	33,485
CWIP	92	208	4,769	6,001	12,138
Other non-current asset	417	1,523	1,802	1,641	3,394
Investments	0	3,325	679	1,573	991
Cash and Cash Equivalents	2,844	1,901	664	490	797
Debtors	1,098	1,286	2,527	2,944	3,954
Inventories	241	364	429	494	640
Other current asset	328	383	479	716	1,362
Total Assets	**14,332**	**19,041**	**29,011**	**38,198**	**56,761**

Source: Company, Systematix Research

Cash Flow

YE: Mar (Rs mn)	FY21	FY22	FY23	FY24	FY25
PBT	**2,790**	**4,569**	**4,849**	**4,595**	**5,581**
Depreciation	695	727	1,293	1,465	1,772
Interest	325	160	305	470	903
Others	-15	-202	-461	-73	-255
Working capital	141	-745	-693	157	-769
Direct tax	-377	-1,269	-972	-1,402	-1,414
Net cash from Op. activities	**3,560**	**3,240**	**4,321**	**5,212**	**5,818**
Net Capital expenditures	-936	-1,700	-5,719	-6,459	-9,617
Others	-2,260	-2,428	244	-1,072	-1,552
Net Cash from Invt. activities	**-346**	**13**	**6**	**5**	**7**
Issue of share cap. / premium	950	0	0	0	0
Debt changes	-845	-469	1,883	4,416	7,650
Dividend paid	0	0	0	0	0
Others	-272	1,800	-337	-829	-1,498
Net cash from Fin. activities	**98**	**610**	**196**	**2,167**	**5,431**
Net change in cash	**116**	**-265**	**-952**	**-147**	**87**

Source: Company, Systematix Research

Ratios

YE: Mar	FY21	FY22	FY23	FY24	FY25
Per Share (Rs)					
EPS	5.2	8.3	8.5	7.8	9.6
BVPS	11.1	17.3	20.9	22.9	53.4
Return Ratio(%)					
RoCE	22.2	20.1	14.7	11.2	10.0
RoE	20.4	24.4	16.8	13.5	15.0
Balance Sheet					
Net Debt : Equity (x)	36.1	18.2	35.0	64.8	105.0
Net Working Capital (Days)	-31	-3	8	-5	-29
Valuation(x)					
P/E	134.6	83.9	82.4	90.1	72.7
EV/EBITDA	75.4	54.3	47.3	43.9	35.7
EV/Sales	21.3	17.2	12.9	11.3	9.3

Source: Company, Systematix Research

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Served as an officer, director or employee	No

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